Chapter 37: Dealing with macroeconomic and financial crises

1. This is the essence of the idea of the ‘Taylor Principle’. John B. Taylor, *Monetary Policy Rules* (Chicago: University of Chicago Press, June 2001).
2. For a look at the things that broke down in India after the Lehman failure, see Ajay Shah, ‘Recessions uncover what auditors do not’, *The Leap Blog*, February 2016, https://blog.theleapjournal.org/2016/02/recessions-uncoverwhat-auditors-do-not.html.
3. For an example, see Liz Moyer, ‘Maurice Greenberg Loses Bid for Damages From A.I.G. Bailout’, *New York Times*, 9 May 2017, https://www.nytimes.com/2017/05/09/business/dealbook/aig-bailout-maurice-greenberg.html.
4. Eamon Javers, ‘Inside Obama’s bank CEOs meeting’, *Politico*, 3 April 2009, https://www.politico.com/story/2009/04/inside-obamas-bank-ceos-meeting-020871.
5. This calls for a refinement of the notion that transaction-intensive problems are harder in the public policy process. Part of why crises are a difficult problem is that they only occur occasionally.
6. As an example, a close examination of late 2008 is in Ila Patnaik and Ajay Shah, ‘Why India choked when Lehman broke’, *India Policy Forum*, *Vol.* 6, No. 1, 2009–10, pp. 39–73, https://www.nipfp.org.in/media/medialibrary/2013/04/wp_2010_63.pdf.
7. Ajay Shah, ‘The strategy and the tactics’, *Business Standard*, 3 June 2019, http://www.mayin.org/ajayshah/MEDIA/2019/strategy_tactics.html.
8. A first draft of history of the 2008 crisis is P. Vaidyanathan Iyer, ‘How They Saved the India Story’, *The Indian Express*, 27 September 2010, which shows this combination of intellectual capacity and team coherence that runs across administrative boundaries, http://archive.indianexpress.com/news/how-they-saved-the-india-story/683133/0.
9. Andrew Filardo et al., ‘*The international financial crisis: Timeline, impact and policy responses in Asia and the Pacific’*, technical report 52 (Bank for International Settlements, July 2010), https://www.bis.org/publ/bppdf/bispap52c.pdf.